

Appendix: Analysis Legend

The following table provides a definition of the words and symbols we use in the book.

Word/Symbol	Description
DIY	Do-It-Yourself
ROBUST	50 percent TMOM; 50 percent MA
TMOM	Time series momentum
MA	Simple moving average
S&P 500	Standard & Poor's 500 Total Return Index, the free-float, market-capitalization-weighted index including the effects of dividend reinvestment
CAGR	Compound annual growth rate.
Standard Deviation	Sample standard deviation (annualized by square root of 12)
Downside Deviation	Sample standard deviation of all negative observations (annualized by square root of 12)
Sharpe Ratio	Monthly return minus risk-free rate divided by standard deviation (annualized by square root of 12)
Sortino Ratio (MAR=5%)	Monthly return minus minimum acceptable return (MAR/12) divided by downside deviation (annualized by square root of 12)
Worst Drawdown	Worst peak-to-trough performance
Worst Month Return	Worst monthly performance
Best Month Return	Best monthly performance
Profitable Months	Proportion of monthly performances that have a positive return